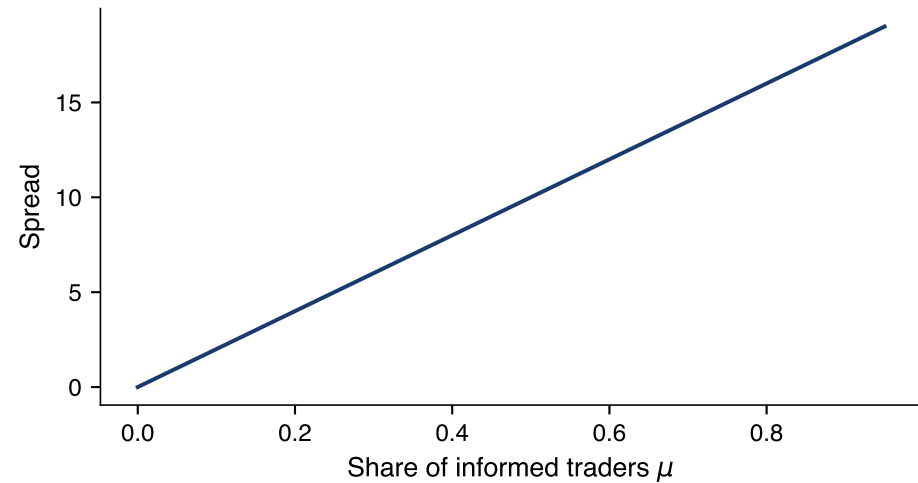
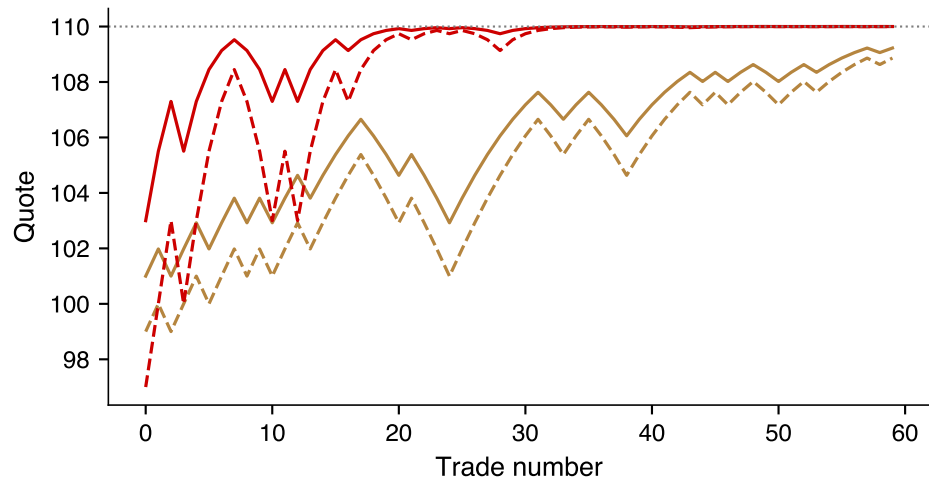


Adverse selection widens the spread



Quotes learn the true value  $V = 110$



— Initial spread ask - bid ( $V_L = 90$ ,  $V_H = 110$ )

— Ask,  $\mu = 0.1$

— Bid,  $\mu = 0.1$

— Ask,  $\mu = 0.3$

--- Bid,  $\mu = 0.3$